Transforming School Education in Gujarat: A Governance Perspective

Master's Project

Mayur Matang
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Advisor: Prof. Hans-Martin Boehmer
Committee Member: Prof. Sarah Dickerson

DUKE UNIVERSITY

1. Executive Summary

Despite being prosperous and one of the fastest-growing large states in India, the learning outcomes of Gujarat's 11 million school children are subpar. School closures due to the COVID-19 lockdowns have wiped out the gains of the previous decade. In 2022, only 34% of 10-year-olds could read at a level appropriate for 7-year-olds, and a mere 15% could perform basic division across the state. For Gujarat to sustain its growth, human capital development through high performing school education system becomes critical.

The Education Minister can attract higher approval ratings and an extended tenure in office by steering school education reforms. Key considerations for the Minister encompass the financial implications, political dynamics, and the anticipated response from various stakeholders to proposed reforms. By enhancing learning outcomes while adhering to budgetary constraints and minimum resistance from interest groups, the Minister can achieve higher approval ratings for a new term in office.

This policy paper examines the state of the school system in Gujarat with a focus on public schools, private aided schools, private unaided schools, and right-to-education quota seats. The paper delves into the challenges and opportunities by assessing these school models based on effectiveness, efficiency, equity, and political economy parameters. Stakeholder analysis is employed to evaluate the interests of key individuals and groups while students are profiled based on their household characteristics. In the end, a comprehensive set of recommendations and a feasible strategy to enhance governance, (and, thereby, learning outcomes) is provided.

Figure 1: School System Statistics

Gujarat, 2021-22								
Management	Proportion of School	Proportion of Student	Proportion of Teacher	Students Per School	Per Student Annual Govt. Cost	Per Student Annual HH Cost	% of Female Students	% of Disadvantaged Students
Public	64%	47%	50%	159	24,187	2,725	49%	85%
Private Aided	11%	16%	13%	324	25,474	18,074	48%	52%
Private Unaided	26%	37%	37%	306	0	21,788	43%	32%
Total	100%	100%	100%	215	NA	NA	NA	NA
Source: UDISE+ & NSSO 2018								

The landscape of public schools, driven by the Right to Education (RTE) Act, witnessed a significant increase in accessibility. However, the issue of teacher absenteeism and shirking, with 23% of rural primary school teachers absent and 40% present in school but not teaching, are the primary causes of poor learning outcomes. Public schools still hold substantial influence due to strong teacher unions that are often resistant to accountability reforms. Moreover, the incentive structure for teachers is such that their salary and promotion are unrelated to performance. The per-student annual household and government cost combined is higher in public than private unaided schools. The high per-student cost can be attributed to teacher salaries that are at least 2.8 times the state's GDP per capita. Students per school are lower than the state average of 215. Gender representation is balanced; however, in terms of social representation, 85% of students are from disadvantaged groups.

Private aided schools are heavily regulated, sharing similarities in governance and outcomes with public schools despite their private management. They receive financial assistance from the government to offer subsidized education mainly in secondary grades. They complement the public schools which offer free education in elementary grades. The ministry funds teacher salaries, which has eroded the accountability

mechanisms between parents, management, and teachers. The per-student annual cost is twice as compared to the private unaided school's cost due to high teacher salaries. Learning outcomes are assumed to be on par with public schools. Aided schools do well with high students per school and gender and social representation. However, they face challenges of weak governance that impact their performance. The intertwined nature of teachers' involvement in politics further complicates reforms.

Private unaided schools operate independently while adhering to state and central government regulations. They derive revenue from student fees and thus, are accountable to parents. They deliver better outcomes at significantly lower costs than public schools. They deliver these outcomes despite stringent regulations and market failure due to information asymmetry. They are efficient with a high number of students per school but fall short on equity as not many disadvantaged students enroll. Encouraging a more business-friendly environment holds the potential to enhance their performance further. However, reforms would be opposed by public and aided teacher unions, entrenched private unaided schools, and parents who prefer fee caps.

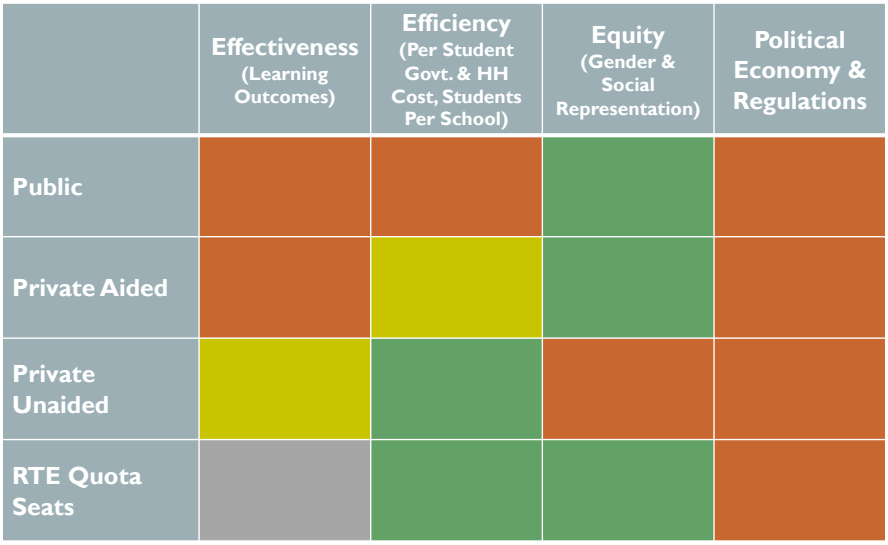
Under the Right to Education Act, quota seats provide disadvantaged students access to private unaided schools. It is a public-private partnership model where the government reimburses schools for admitting students on quota seats. It faces three primary limitations. Firstly, it fails to cater to families unable to afford even low-cost private unaided education. Secondly, the policy is able to admit just 1% of Gujarat’s disadvantaged students. Increasing the supply of unaided schools would improve accessibility for many more disadvantaged students. Lastly, government failure in implementing the policy often results in delayed or no reimbursements to schools, causing opposition from schools.

The student profiling logit model finds that students that belong to either disadvantaged and minority groups, rural areas, or secondary grades have a low likelihood of enrolling in private unaided schools. An increase in distance to school positively correlates with unaided school enrollment, suggesting the lack of unaided school penetration in Gujarat.

The stakeholder analysis explores the interests and power of various players to influence policy. Political leaders wield significant influence, engaging in clientelism, rent-seeking, and educational reform. They strive to enhance public education while avoiding perceived favoritism towards the private sector. The bureaucracy struggles with limited capacity and engages in rent-seeking behaviors. Public and aided teacher unions showcase organizational strength to advocate for higher salaries and job security, while the private unaided school union seeks limited market competition through regulation. International donors invest to ensure planned outcomes. Business associations support deregulation for private sector investment. Civil society groups champion increased funding in the public school system, while parents' union advocates for fee caps in private unaided education.

A pattern of low performance emerges in the political economy and regulations parameter, indicating weak institutional and state capacity (Figure 2). The ministry, thus, finds it challenging to resist interest groups resulting in the allocation of a disproportionate share of resources to influential stakeholders, making the entire system ineffective and inefficient.

Figure 2: Governance Parameters



Red = Low, Yellow = Average, Green = High Performance, Grey = No Data

RECOMMENDATIONS

Recommendations for reforming public schools involve biometric attendance systems and increased inspections, along with deploying CCTV cameras in urban areas. Contract teacher recruitment is proposed to enhance cost efficiency and motivation. School consolidation, particularly of upper primary schools, is recommended to achieve economies of scale and expansion of primary schools to enhance proximity for young students. The use of GIS technology to strategically close and consolidate schools, coupled with providing bicycles to students is advised. Emphasizing the decrease in enrollment and the importance of reforms for national development is a proposed approach for negotiating with teachers' unions.

Recommendations for reforming private aided schools involve gradually raising the passing rate threshold for grants. Direct cash transfers to students are proposed instead of school grants to address administrative challenges. Consolidating and allowing schools the option to convert to unaided schools is recommended. Leveraging learning outcome

data, like participation in PISA assessments is recommended, to pressure teacher unions for accountability reforms.

Recommendations for reforming private unaided schools involve deregulating fee caps while implementing restrictions to drastic fee increases, like in Haryana and Uttar Pradesh. Establishing a school regulator to address information asymmetry, enforcing and relaxing infrastructure standards, and providing training opportunities for teachers are advised to ensure greater competition. Allowing for-profit schools, initially in specific urban regions is suggested to enhance competition and increase investments, even though it may face opposition from existing non-profit private unaided schools and public/aided teachers' unions.

Recommendations for reforming RTE quota seats in unaided schools involve addressing under-subscription and selection issues by collaborating with NGOs to identify disadvantaged students and assisting with application submissions. Making reimbursements to schools equal to their fees is recommended. To enhance access, expanding the supply of private unaided schools through deregulation and introducing of for-profit schools is advised. Furthermore, advocating for direct cash transfers to students, shifting from the current centralized process, is proposed to streamline the system.

To implement the abovementioned reforms, a meta-strategy aligning with the five-year election cycle is advised. The strategy aims to initiate significant changes during the first three years of a government's term while disguising the reforms as appeasement to the interest groups during the last two years. The approach in the first three years involves using coercive powers to address less powerful stakeholders such as private unaided school unions, aided teachers' unions, parents' unions, and parents. Upsetting the

powerful public teachers' union must be avoided. Instead, the ministry must wait and allow the private sector liberalization to weaken them.

In conclusion, this paper provides insights into Gujarat's intricate school education landscape, focusing on public, private aided, and private unaided schools. Despite efforts to improve school performance, a multitude of stakeholders exert significant influence on policies, leading to a gradual and complicated reform process. To enhance the governance of the education system, a delicate equilibrium must be maintained, considering the concerns of diverse stakeholders and the state's capacity. By enacting evidence-based policies and creating a favorable regulatory environment for the private sector, the Minister has the potential to cultivate an efficient and equitable school system that ensures higher learning outcomes for 11 million students.

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